

expensive price. Munger was adamant that See's was worth paying up for, and so Buffett countered with a price that would have made Graham blush: \$25 million, which equated to a price-to-earnings ratio of 12.5, and a price-to-book-value ratio of 4. See was initially reluctant to lower his price, but Buffett and Munger were at the "exact dollar limit of what [they were] willing to pay."²⁸ Any higher, and Buffett would have walked. See eventually caved, and on January 31, 1972, Buffett and Munger bought See's Candies for \$25 million. Fittingly, the acquisition was undertaken through Blue Chip Stamps, a partially owned Berkshire Hathaway, Inc. subsidiary run by Munger.

Buffett's insight into the valuation of See's Candies, and his willingness to pay such an apparently exorbitant price, was the value of See's consumer franchise. See's chocolate was, according to Buffett, particularly high quality and preferred by lovers of chocolate to candy costing two or three times as much.²⁹ Additionally, Buffett observed that the quality of See's customer service in company-owned shops was "every bit as good as the product," and "as much a trademark of See's as is the logo on the box."³⁰ Cumulatively, these qualities created an unassailable consumer franchise that allowed See's to take commodity raw materials—sugar, cocoa beans, and milk—and transform them into a particularly high-margin product. That consumer franchise only grew as See's became part of a tradition for Californians.

Where Graham might have assessed the quantity of tangible assets possessed by the company as warranting a lower purchase price—perhaps a discount to book value, to provide a margin of safety—Buffett had another "high-probability insight." He saw that See's ability to generate high returns on little invested capital made those tangible assets worth a substantial premium to book value. See's high returns on the little capital it employed allowed it to grow rapidly, throwing off cash as it did so, exactly the qualities that Munger had assessed as being the hallmarks of a high-quality business. But what was See's worth? See's had earned just less than \$5 million pre-tax in 1971, generating an extraordinary 60 percent return on the \$8 million in tangible assets. Assuming a discount rate of between 10 and 12 percent—for comparison, the 10-year treasury rate in January 1972 was 5.95 percent—See's was worth between 5 and 6 times its invested capital, or between \$40 and \$48 million. Illustrating that, true to his word, Buffett was still 85 percent Graham, the \$25 million purchase price was only one-half to two-thirds of See's intrinsic value. Even if Buffett had paid full price, however, See's would still have been an extraordinary investment.

In his 2007 letter to shareholders, Buffett described See's as the "prototype of a dream business."³¹ That year it earned for Berkshire Hathaway, Inc. \$82 million on just \$40 million of capital, generating an extraordinary 195 percent return on capital. The more than sixteen-fold growth in earnings